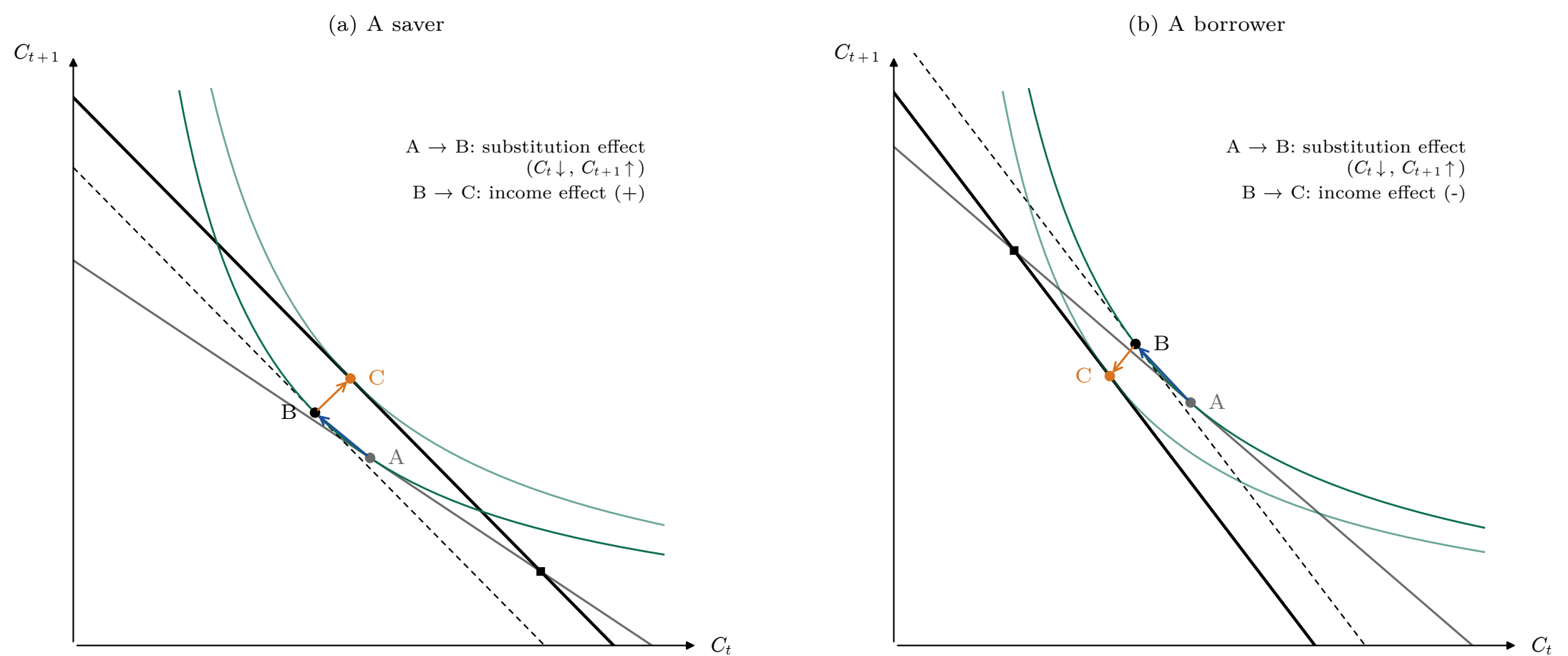

Fig. 4: The interest rate rises from 5% to 60% (exaggerated for visibility): the budget line pivots around the endowment. The substitution effect always lowers C_t; the income effect helps savers and hurts borrowers.